Blurt sheet - Unit 3.2 Managers, leadership and decision making

AQA A-LEVEL BUSINESS 7132

3.2.1 Management and leadership

- **Management:** planning, organising, coordinating and controlling resources
- **Leadership:** setting direction and influencing and inspiring people
- **Role of managers:** set objectives, analyse, lead, make decisions, review
- **Management v leadership:** managers focus on systems and control; leaders focus on vision and people
- A good manager often needs both skills
- **Effective leadership:** depends on the situation, the task and the people being led

3.2.1 Leadership styles

- **Autocratic:** leader decides alone and tells staff
- **Paternalistic:** leader decides in what they believe is the staff's best interest
- **Democratic:** staff are consulted and involved in decisions
- **Laissez-faire:** leader sets broad goals and leaves staff to decide
- **Influences on style:** leader's personality, staff skills, urgency, task, risk, size and culture of the business
- **Autocratic works best:** in a crisis or with unskilled staff
- **Democratic works best:** with skilled staff when there is time to consult
- **Trap:** no style is always best

3.2.1 The Tannenbaum Schmidt continuum

- **Tannenbaum Schmidt continuum:** a range of leadership from manager-centred to team-centred
- **Stages:** tell, sell, consult, join, delegate
- **Tell:** manager decides and announces
- **Consult:** manager asks for views, then decides
- **Delegate:** team decides within limits set by the manager
- **Moving along:** manager uses less authority, team has more freedom
- **Forces deciding the position:** the manager, the team, the situation
- **Trap:** it is a continuum, not just two styles

3.2.2 Scientific and intuitive decision making

- **Scientific decision making:** set objectives → gather data → analyse → select strategy → implement → review
- **Benefits of data:** reduces risk, logical, can be checked
- **Drawbacks of data:** time and cost; data may be out of date
- **Intuition:** decisions based on gut feeling and experience
- **When intuition helps:** little data, decisions needed quickly, new markets
- **Drawbacks of intuition:** open to bias; hard to justify to others
- Most decisions use a mix of data and judgement

3.2.2 Risk, reward, uncertainty and influences on decisions

- **Risk:** the chance the outcome is worse than expected; can often be estimated
- **Reward:** the benefit if the decision succeeds
- **Uncertainty:** outcomes or their likelihood cannot be known
- **Opportunity cost:** the next best alternative given up
- **Influences on decisions named by AQA:** mission, objectives, ethics, the external environment including competition, resource constraints
- **Resource constraints:** limits on money, staff, time or capacity
- **Ethics:** whether a decision is morally right, not just legal

3.2.2 Decision trees

- **Square:** decision point
- **Circle:** chance node (outcomes with probabilities)
- **Probabilities at a chance node:** add up to 1
- **Expected value:** sum of (probability × pay-off)
- **Net gain:** expected value − cost of the option
- **Choosing:** the option with the highest net gain, all else equal
- **Value:** makes managers set out options, costs and probabilities clearly
- **Limitations:** estimates; expected value never actually happens; ignores qualitative factors and attitude to risk

3.2.3 Stakeholders: needs, overlap and conflict

- **Stakeholder:** anyone who affects or is affected by the business
- **Internal stakeholders:** employees, managers, owners or shareholders
- **External stakeholders:** customers, suppliers, lenders, local community, government, pressure groups
- **Stakeholder needs:** e.g. employees want pay and security; customers want value; shareholders want returns
- **Overlap:** a successful business can meet many needs at once, especially in the long term
- **Conflict examples:** pay v dividends, low prices v margins, relocation v local jobs
- **Why consider stakeholders:** reputation, staff and customer loyalty, avoiding opposition

3.2.3 Stakeholder mapping and relationships

- **Stakeholder mapping:** stakeholders placed by their power and their interest
- **High power, high interest:** manage closely
- **High power, low interest:** keep satisfied
- **Low power, high interest:** keep informed
- **Low power, low interest:** monitor
- **Communication:** passing on information
- **Consultation:** asking for views before deciding
- **Influences on relationships:** power and interest can change, e.g. a campaign group gains support